OPEN LETTER · EYE ON SHOALHAVEN COUNCIL

Steve Prothero Asks Cr Proudfoot to Clarify Shoalhaven Land Sale Guarantee

Sent 31 July 2026 · To Cr Proudfoot · Response requested by 21 August 2026

Dear Councillor Proudfoot,

Thank you for appearing on Triple U FM on Friday, 31 July, to discuss Shoalhaven City Council's proposed reclassification and possible sale of community land.

Whatever disagreements may exist about the decision, you deserve credit for making yourself available, answering the questions put to you and acknowledging that the process "perhaps could have been handled a bit more gently".

Your interview has added important information to the public discussion. It has also raised questions that should be answered before Council again considers the rescission motions relating to items CL26.157 and CL26.160.

The purpose of this letter is not to attribute improper motives to you or any other councillor. It is to establish clearly what the Shoalhaven Independent Group understood, what affected organisations were told, and what commitments Council is prepared to make before taking further action.

The background

At the Council meeting held on Tuesday, 28 July, a majority of councillors supported proceeding with the reclassification of several parcels from community land to operational land.

That reclassification does not, by itself, complete a sale. It is, however, the legal step that can remove the protections applying to community land and allow the properties to be sold.

The sites attracting the greatest public concern include premises associated with:

Nowra Youth Services and Salt Care at Kinghorne Street;

Werninck Craft Cottage;

Safe Shelter Shoalhaven;

NOAHs Inclusion Services at Green Street, Ulladulla; and
the former Rural Fire Service premises at Bendalong.

The principal concern has not simply been Council's review of its property holdings. It has been that organisations delivering services to young people, people with disability,

families, artists and people experiencing homelessness reportedly learned of the proposals only after the business papers were published.

That gave them only a few days to understand the proposal, obtain information, contact councillors and prepare to address Council.

Two different public explanations

On Thursday, Mayor Patricia White told ABC Illawarra that councillors did not know which properties were included until the business papers were published. She referred to restrictions on councillor briefings as part of the explanation for why there had been no earlier warning.

On Friday, you told Triple U FM:

"We've been doing this land sale strategy for 12 to 18 months. And so I believe the community know that things are coming up."

These accounts appear difficult to reconcile.

The Mayor's explanation suggests that the specific proposal was not known to councillors before publication of the business papers.

Your explanation suggests that the process had been underway for a substantial period and that the community should have understood that particular properties might be considered.

Council's Land Sales Strategy was adopted in April 2024, approximately 27 months before the July 2026 meeting. Council publicly exhibited a list of properties, provided an interactive map and received more than 330 survey responses.

However, based on the published material we have examined, the principal community-tenanted sites now causing concern were not clearly identified in that consultation.

The existence of a general land sales strategy is not necessarily the same as public notice that a youth service, disability service, homeless shelter or long-established community organisation may lose its present premises.

Consultation before a decision

During your interview, you said:

"If you haven't got a resolution in front of you, it's pretty hard for the council staff to go and do their consultation."

You also described the issue as one of determining where consultation should begin and end.

That explanation appears inconsistent with the process used in 2024.

Council then identified proposed properties, publicly exhibited them, invited submissions and considered community feedback before completing the disposal process.

Council was therefore able to consult before selling the properties and before making every final decision necessary to permit a sale.

This raises a straightforward question: why was a similar process not followed for the newly identified community-tenanted properties?

The affected organisations did not need to be promised that their properties would never be sold. They could simply have been told that Council was considering their inclusion in the program and invited to explain the consequences, alternatives and relevant history before councillors voted.

The "gilt-edged guarantee"

The most significant statement in your interview was your assurance that the affected organisations had been given what you described as a "gilt-edged guarantee".

You said:

"The director in charge of the portfolio said, but we're not going to kick people out. We'll talk with them, but we'll organise a gentle transition over some time and it could be a couple of years. And we'll work with those people, especially those that are on land classified as community land."

That statement needs to be clarified.

A commitment to manage a "gentle transition" appears to be a commitment to assist organisations to leave their present premises. It is not necessarily a commitment to remain where they are.

The distinction matters.

It matters to young people using Nowra Youth Services. It matters to families relying on NOAHs. It matters to Safe Shelter Shoalhaven, Salt Care, Werninck Craft Cottage and the Bendalong community.

It also matters because the guarantee does not appear in the Council resolution. No alternative sites have been publicly identified, no relocation budget has been disclosed, and no timetable or minimum standard of replacement accommodation appears to have been adopted.

A verbal assurance may have been given in good faith. But community organisations cannot plan their services, staffing, grants and future commitments on the basis of an assurance whose exact terms have not been recorded.

The proposed new disposal policy

You were unable to attend the resumed meeting on Wednesday morning because of a prior appointment.

During that sitting, Council considered item CL26.160, concerning its land acquisition and disposal policy.

The previous policy reportedly contained a general provision for public comment before final decisions about land or property disposal. The replacement wording requires Council to consider community interests.

Those expressions are not equivalent.

A requirement for public comment establishes an identifiable process. A requirement to "give consideration" leaves substantially more discretion about whether consultation occurs, when it occurs and what form it takes.

You said in your interview that you doubted there would be "no consultation whatsoever". That may be correct. The concern is that consultation may now be discretionary rather than assured.

Because you did not participate in that part of the meeting, it would assist the community to know whether you support restoring an express consultation requirement to the policy.

Depot Beach

There is also an unresolved question concerning the Depot Beach road reserve.

Depot Beach was included in the earlier land strategy and attracted substantial community opposition. Council resolved in June 2025 not to proceed with the sale after receiving formal objections and a petition containing hundreds of signatures.

Further attempts were subsequently made to revisit that result, including motions supported by members of the Shoalhaven Independent Group.

The site has now again appeared within a broader package.

Where Council has consulted, received strong public opposition and resolved not to sell, the community is entitled to ask what finality attaches to that decision.

Questions requiring answers

To clarify the public record, I ask that you answer the following questions.

When you said the community knew that properties were "coming up", were you referring to the general existence of the Land Sales Strategy, or did you believe the affected tenants knew their particular premises were being considered?

Before the business papers were published, did you personally know that the Kinghorne Street, Plunkett Street, Green Street, Safe Shelter or Bendalong properties would be

included?

If you did know, when did you first become aware of their proposed inclusion?

Did any councillor within the Shoalhaven Independent Group receive information about the affected properties before the business papers were published?

Did the Mayor, Deputy Mayor or any other councillor discuss the possible inclusion of these sites with you before publication?

If councillors did not know the specific properties, how could the affected community organisations reasonably have known that their premises were under consideration?

Why could Council not identify the affected properties, contact the tenants and invite submissions before voting to begin the reclassification process?

Who gave the "gilt-edged guarantee" you referred to?

Was the assurance given during the meeting, in a councillor briefing, in correspondence, in a private discussion or through another process?

What were the exact terms of the assurance?

Does the guarantee mean that affected organisations may remain in their present buildings, or only that they will be assisted to relocate?

Does it apply to every organisation affected by CL26.157?

Will Council provide the guarantee in writing to each tenant before the rescission motions are considered?

Will any written commitment identify the length of the transition period, relocation assistance, funding, suitable alternative premises and responsibility for moving costs?

What will occur if Council cannot identify a suitable alternative property for an affected organisation?

Will you support deferring any reclassification until written relocation and service-continuity plans have been agreed with the affected tenants?

Do you support restoring an express requirement for public consultation to Council's land acquisition and disposal policy?

Regarding Depot Beach, what circumstances justify reconsidering a sale after Council previously consulted the community and resolved not to proceed?

Do you agree with Mayor White's statement that councillors could not have warned the affected organisations because councillors were unaware of the properties until publication of the business papers?

More broadly, what is the agreed position of the Shoalhaven Independent Group: was this a long-running and publicly understood process, or a proposal whose specific contents were unknown until the business papers appeared?

An opportunity to correct the record

These questions are not based on an assumption that you acted improperly.

They arise because two senior members of the Council majority have now given materially different explanations for the same process.

Residents should not have to choose between competing accounts from councillors who voted together on the proposal. The Council majority should be able to provide a consistent, documented explanation of:

when the properties were first considered;

who knew about their inclusion;

why tenants were not contacted;

what consultation will now occur;

what the supposed guarantee actually provides; and

whether any organisation could ultimately be required to leave without suitable replacement premises.

You have already shown a greater willingness than some of your colleagues to participate in public discussion and acknowledge shortcomings in the process.

I therefore invite you to provide a written response for publication in full, subject only to ordinary editing for formatting and any legal requirements.

The same invitation remains open to Mayor Patricia White and every councillor who supported the resolution.

The community does not need another general assurance that everyone will be “looked after”. It needs the facts, the terms of the commitment and a clear explanation of who knew what, and when.

Yours sincerely,

Steve Prothero
Editor
Eye on Shoalhaven Council